

group of technology and communications stocks. That is when people learned that quantity diversification is not the same as quality diversification.

[Figure 3-2](#) illustrates the movement in the returns of two mutual funds that have a consistently high correlation with each other. [Figure 3-2](#) assumes a portfolio of 50 percent in Fund A and 50 percent in Fund B, rebalanced annually.

Since Fund A and Fund B are highly correlated, there would be no diversification benefit from owning both in a portfolio. Ideally, you would like to invest in two mutual funds that have a negative correlation. [Figure 3-3](#) shows that Fund C and Fund D move in opposite directions, which means that the two funds have negative correlation. A portfolio of 50 percent in Fund C and 50 percent in Fund D, rebalanced annually, will result in a return that is less volatile than the return on either of the two investments individually. Negative correlation is theoretically ideal when selecting investments for a portfolio, but you are not going to find it in the real world. These pairs of investments just do not exist.

FIGURE 3-2

Perfect Positive Correlation Year-over-Year Returns